

Display of Abstract

Following are the abstracts of acts to be displayed at the branch :

- 1. The Payment of Wages Act, 1936 and the rules made thereunder**
- 2. The Maternity Benefit Act, 1961 and the rules made thereunder**
- 3. Section 3 & 14 of The Child Labour (Prohibition & Regulation) Act, 1986 and the rules made thereunder**
- 4. The Payment of Gratuity Act, 1972 and the rules made thereunder**
- 5. The Minimum Wages Act, 1948 and the rule made thereunder**

**ABSTRACT OF THE PAYMENT OF WAGES ACT, 1936
(NO. 4 OF 1936) AND RULES MADE THEREUNDER**

1. **Whom the Act effects :-** The Act applies to the payment of wages to persons in a establishment or factory or upon any Railway by a Railway Administration either directly or through a Sub-contractor or by a person fulfilling a contract with a Railway Administration (Railway factories expected) receiving less than Rs. 1600* a month
2. No, employed person can give up by contract, or agreement, his right under the Act.
3. **Definition of wages :-** "Wages" means all remuneration payable to an employed person on the fulfillment of his contract of employment.

It includes any remuneration payable, under any award, or settlement or order of a court, remuneration in respect of overtime, or holidays or leave period, additional remuneration payable under the terms of employment whether called bonus or by any other name.

It excludes :-

- (a) Any Bonus whether under a scheme of profit sharing, or otherwise, which does not form part of the remuneration payable under the terms of employment or which is not payable under any Award or order of court;
 - (b) The value of house-accommodation, supply of light, water, medical attendance, or other amenity or of any service excluded by general or special order of the State Government;
 - (c) The employers' contribution to a pension or provident fund, and the Interest which might have accrued thereon;
 - (d) Travelling allowance or value of any traveling concession or any other sum paid to defray special expenses entailed by the employment;
 - (e) In case of persons employed upon Railway (otherwise than Railway factories) by the person nominated in this behalf, for any local area by the Railway Administration;
 - (f) Any gratuity payable on discharge.
4. **Responsibility for and method of payment :-** The manager of the factory is responsible for the payment under the Act of wages to persons employed by or under him, and any contractor employing persons is responsible for the payment to the persons he employs.
 5. Wage-periods shall be fixed for the payment of wages at intervals not exceeding one month.
 6. Wages shall be paid on a working day within 7 days of the end of wage period (or within 10 days if, 1000 or more persons are employed). The wages of a person discharged shall be paid not later than the second working day after his discharge.
 7. All wages shall be paid in current coins or currency Notes & Payments in kind are prohibited.
 8. **Fines and deductions :-** No deductions shall be made from wages except those authorized under Act (see paragraphs 9-15 below).
 9. (1) Fines can be imposed only for such acts and omissions as the employer may, with the previous approval of the State Government or the prescribed authority, specify by a notice displayed at or near the main entrance of the factory and after giving the employed person an opportunity for explanation.
- (2) **Fines :-**
- (a) Shall not exceed an amount equal to [three percent] of the wages payable to him in respect of that wage-period;
 - (b) Shall not be recovered by installments, or later than sixty days of the date of imposition;
 - (c) Shall be recorded in a register for land applied to such purpose beneficial to the employed persons as are approved by the chief Inspector of Factories;

- (d) Shall not be imposed on a child employee (under 15 years of age).
10. (a) Deductions for absence from duty can be made only on account of the absence of the employed person at times when he should be working, and such deduction must not exceed an amount which is in the same proportion to his wages for the wage period, as the time he was absent in that period is to the total time he should have been at work.
- (b) If ten or more employed persons, acting in concert, absent themselves without reasonable cause and without due notice, the deduction for absence can include wages for 8 days in lieu of notice, but :-
- (1) No deduction for breaking a contract can be made from a person under 15 or women.
 - (2) There must be a provision in writing which forms part of the contract of employment, requiring that a specific period of notice of intention to cease work not exceeding 15 days or the period of notice which the employer has to give to discharge a worker, must be given to the employer and that wages may be deducted in lieu of such notice.
 - (3) The above provision must be displayed at or near the main entrance of the factory.
 - (4) No deduction of this nature can be made until a notice that this deduction is to be made has been posted at or near the main entrance of the factory.
 - (5) No deduction must exceed the wages of the employed person for the period by which the notice he gives of leaving employment is less than the notice he should give under his contract.
11. Deduction can be made for damage to or loss of goods expressly entrusted to an employed person or for loss of money for which he is required to account, where such damage or loss is due to his neglect or default.
- Such deduction cannot exceed the amount of the damage or loss caused and can be made only after giving the employed person an opportunity for explanation.
12. Deductions can be made, equivalent to the value thereof, for house accommodation, amenities, or services (Other than tools and raw material) supplied by the employer, provided these are accepted by the employed person as a part of the terms of his employment and have in the case of amenities and services been authorized by order of Government.
13. (a) Deduction can be made for the recovery of advances or for adjustment of over payment of wages.
- (b) Advances made before the employment began can only be recovered from the first payment of wages for a complete wage period but no recovery can be made of advances given for traveling expenses before employment began.
- (c) Advances of unearned wages can be made at the paymaster's discretion during employment but must not exceed the amount of two months wages without the permission of an Inspector.
- The advances can be recovered by installments, spread over not more than 12 months and the installments must not exceed 1/3rd, or if the wages are not more than 20*, 1/4th of the wages for any wage period.
14. Deductions can be made for subscription to and for re-payment of advances from any recognized provident fund.
15. Deductions can be made for payments to Co-operative Societies approved by the local Government or to the postal insurance, subject to any conditions imposed by the local Government. Deductions can be made with the written authorization of the person employed for payment of Life Insurance under the Life Insurance Corporation Act. 1956, purchase of Government securities of the Govt. of India or of any State Government.
16. **Inspections :-** An Inspector can enter on any premises, and can exercise powers of inspection (including examination of documents and taking of evidence as he may deem necessary for carrying out the purposes of the Act.
17. **Complaints of deductions or delays :-** (1) Where irregular deductions are made from wages, or delays in payment take place, an employed person can make an application in the prescribed form within twelve months to the Authority appointed by the local Government for the purpose. An application delayed beyond this period may be rejected unless sufficient cause for the delay is shown.

- (2) Any legal practitioner, official of a registered trade Union, Inspector under the Act, or other person acting with the permission of the Authority can make the complaint on behalf of an employed person.
- (3) A single application may be presented by, or on behalf of any number of persons belonging to the same factory, payment of whose wages has been delayed.

18. **Action by the Authority :-** Authority may award compensation to the employed person in addition to ordering the payment of delayed wages or the refund of illegal deductions.

If a malicious or vexatious complaint is made, the Authority may impose a penalty not exceeding Rs. 50* on the applicant and order that it be paid to the employer.

19. **Appeal against the Authority :-** An appeal in the prescribed form against a direction made by the Authority may be preferred within 30 days to the District Court :-

- (a) By the paymaster if the total amount directed to be paid exceeds Rs. 300*; or if it imposes on him a liability of Rs. 1000*;
- (b) By an employed person, if the total amount of wages withheld from him exceed Rs. 20*, or from the group of his co-workers, exceeds Rs. 50;
- (c) By a person directed to pay a penalty for a malicious or vexatious application;
- (d) No, appeal shall lie unless accompanied with a certificate from authority that the appellant has deposited the amount payable under the direction or order appealed against.
- (e) Payment of the amount deposited of the opposite party can be stayed till the decision of the appeal.

20. **Punishments for breaches of the Act :-** Any one delaying the payment of wages beyond the due date, or making any unauthorized deduction from wages is liable to a fine which shall not be less than Rs.200* but which may extend to Rs.1000*, but only if prosecuted with the sanction of the Authority or the appellate Court.

21. The paymaster who :-

- (1) does not fix a wage-period, or
- (2) makes payment in kind, or
- (3) fails to display at or near the main entrance of the factory this abstract in English and in the language of the majority of the employed persons, or
- (4) breaks certain rules made under the Act, is liable to a fine which shall not be less than Rs.200* but which may extend to Rs.1000*.

A complaint to this effect can be made only by the Inspector, or with his sanction.

***Note :** For current rate, please contact Labour Department of the State.

ABSTRACT OF THE MATERNITY BENEFIT ACT, 1961

1. No employer shall knowingly employ a woman during the six weeks immediately following the day of her delivery of miscarriage medical termination of pregnancy and no woman shall work in any establishment during the said period.
2. No pregnant woman shall, on a request being made by her in this behalf, be required by her employer to do during the period of one month immediately preceding the period of six weeks before the date of her expected delivery and also for any period during this period of six weeks for which she does not avail of leave of absence, any work which involves long hours of standing, or which in way i s likely to interfere with her pregnancy or the normal development of the foetus, or is likely to cause her miscarriage or otherwise to adversely affect her health.
3. (1) Subject to the provisions of the Act, every woman who has actually worked in an establishment of the employer from whom she claims maternity benefit for a period of not less than eighty days, including the days during which she was laid off, shall be entitled to, and her employer shall be liable for, the payment of maternity benefit at the rate of her average daily wages, or the minimum rate of wage fixed or revised under the Minimum Wages Act, 1948, or ten rupees a day, whichever is highest, for the period of her actual absence not exceeding six weeks immediately preceding the day of delivery and the remaining period immediately following that day:

PROVIDED that the qualifying period of eighty days aforesaid shall not apply to a woman who has immigrated into the State of Assam and was pregnant at the time of the immigration: PROVIDED FURTHER that where a woman dies during the period for which maternity benefit is payable to her, the benefit shall be payable only for the days up to and including the day of her death. However, where the woman having been delivered of a child, dies during her delivery or during the remaining period of maternity benefit leaving behind in either case the child, the employer shall be liable for the payment of maternity benefit for the entire period of maternity benefit following the day of her delivery but if the child also dies during the said period, then, for the days up to and including the day of the death of the child.

- (2) The amount of maternity benefit for the period preceding the date of her expected delivery shall be paid in advance by the employer to the woman on production of a certificate from a registered medical practitioner stating that she is pregnant and is expected to be delivered of a child within six weeks of the date of production of the certificate, and the amount due for the subsequent period shall be paid by the employer to the woman within forty-eight hours of production of such certificate from a registered medical practitioner stating that she has been delivered of a child or production of a certified extract from a Birth Register maintained under the provisions of any law for the time being in force.
4. (1) Any woman employed in an establishment and entitled to maternity benefit under the provisions of this Act may give notice in writing to her employer, stating that her maternity benefit and any other amount to which she may be entitled under this Act may be paid to her or to such person as she may nominate in the notice and that she will not work in any establishment during the period for which she receives maternity benefit.

(2) In the case of a woman who is pregnant, such notice shall state the date from which she will be absent from work, not being a date earlier than six weeks from the date of her expected delivery.

(3) Any woman who has not given the notice when she was pregnant may give such notice as soon as possible after the delivery.

(4) On receipt of the notice, the employer shall permit such woman to absent herself from the establishment until the expiry of the remaining period of maternity benefit after the day of her delivery.

5. (1) Every woman entitled to maternity benefit under the Act shall also be entitled to receive from her employer a medical bonus of two hundred and fifty rupees, if no pre-natal, confinement and post-natal care is provided for by the employer free of charge. The medical bonus shall be paid along with the second instalment of the maternity benefit.

(2) In case of miscarriage, a woman shall, on production of a certificate from registered medical practitioner be entitled to leave with wages at the rate of maternity benefit, for a period of six weeks immediately following the day of her miscarriage. The wages shall be paid within 48 hours of production of the said certificate.

(2a) In case of medical termination of pregnancy, a woman shall, on production of a certificate from registered medical practitioner be entitled to leave with wages of the rate of maternity benefit for a period of six weeks immediately following the day of her medical termination of pregnancy. The wages shall be paid within 48 hours of production of said certificate.

(3) A woman suffering from illness arising out of pregnancy, delivery, premature birth of child of miscarriage, medical termination of pregnancy or tubectomy operation shall, on production of a certificate from registered medical practitioner be entitled, in addition to the period of absence allowed to her on account of maternity or miscarriage, medical termination of pregnancy or tubectomy operation, as the case may be, to leave with wages at the rate of maternity benefit for a maximum period of one month. The wages for the leave period shall be paid within 48 hours of the expiry of that period.

6. Every woman delivered of a child who returns to duty after such delivery shall, in addition to the interval for rest allowed to her, be allowed in the course of her daily work two breaks of 15 minutes' duration for nursing the child until the child attains the age of fifteen months. An extra sufficient period, depending upon the distance to be covered, shall be allowed for the purpose of the journey to and from the creche or the place where the children are left by women while on duty, provided that such extra period shall not be less than 5 minutes and more than 15 minutes' duration.

7. (1) When a woman absents herself from work in accordance with the provisions of the Act, it shall be unlawful for her employer to discharge or dismiss her during or on account of such absence or to give notice of discharge or dismissal on such a day that the notice will expire during such absence, or to vary to her disadvantage any of the conditions of her service.

(2)(a) The discharge or dismissal of a woman at any time during her pregnancy, if the woman but for which discharge or dismissal would have been entitled to maternity benefit or

medical bonus shall not have the effect of depriving her of the maternity benefit or medical bonus:

PROVIDED that where the dismissal is for one or more of the following acts, the employer may, by order in writing communicate to the woman, deprive her of the maternity benefit or medical bonus or both-

- (i) wilful destruction of employer's goods or property;
- (ii) assaulting any superior or co-employee at the place of work;
- (iii) criminal offence involving moral turpitude resulting in conviction in a court of law;
- (iv) theft, fraud, or dishonesty in connection with the employer's business or property; and
- (v) wilful non-observance of safety measures or rules on the subject or wilful interference with safety devices or with fire-fighting equipment.

(b) Any woman deprived of maternity benefit or medical bonus or both, may within sixty days from the date on which the order of such deprivation is communicated to her, appeal the competent authority and his decision on such appeal whether the woman should or should not be deprived of maternity benefit or medical bonus or both, shall be final.

8. If a woman works in any establishment after she has been permitted by her employer to absent herself under the provisions of the Act, she shall forfeit her claim to the maternity benefit for such period.
9.
 - (1) Any woman claiming the maternity benefit or any other amount to which she is entitled under the Act and any person claiming that payment due has been improperly withheld may make a complaint to the Inspector in writing from a woman in writing.
 - (2) The Inspector may, of his own motion or on receipt of a complaint make an inquiry or cause an Enquiry to be made and if satisfied that payment has been wrongfully withheld, may direct the payment to be made in accordance with his orders.
 - (3) Any person aggrieved by the decision of the Inspector may, within, thirty days from the date on which such decision is communicated to such person, appeal to the competent authority.
 - (4) The decision of the competent authority where an appeal has been preferred to him or of the Inspector where no such appeal has been preferred, shall be final.
10. The failure to submit a notice, appeal or complaint in the prescribed form will not affect the right of a woman entitled to receive maternity benefit or any other amount due under the Act. Where a notice, appeal or complaint has been received in a form other than the prescribed form, the authority concerned shall within fifteen days of the receipt of such notice, appeal or complaint, require the woman to submit the notice, appeal or complaint, as the case may be in the prescribed form.

Abstract of Sec. 3 & Sec. 14 under
THE CHILD LABOUR (PROHIBITION AND REGULATION) ACT, 1986
[Act No. 61 of Year 1986]¹

PART II

**PROHIBITION OF EMPLOYMENT OF CHILDREN IN CERTAIN OCCUPATIONS
AND PROCESSES**

3. Prohibition of employment of CHILDREN in certain occupations and processes

No child shall be employed or permitted to work in any of the occupations set forth in Part A of the Schedule or in any workshop wherein any of the processes set forth in Part B of the Schedule is carried on:

PROVIDED that nothing in this section shall apply to any workshop wherein any process is carried on by the occupier with the aid of his family or to any school established by, or receiving assistance or recognition from Government.

PART IV

MISCELLANEOUS

14. Penalties

- (1) Whoever employs any child or permits any child to work in contravention of the provisions of section 3 shall be punishable with imprisonment for a term which shall not be less than three months but which may extend to one year or with fine which shall not be less than ten thousand rupees but which may extend to twenty thousand rupees or with both.
- (2) Whoever, having been convicted of an offence under section 3, commits a like offence afterwards, he shall be punishable with imprisonment for a term which shall not be less than six months but which may extend to two years.
- (3) Whoever-
 - (a) fails to give notice as required by section 9; or
 - (b) fails to maintain a register as required by section 11 or makes any false entry in any such register; or
 - (c) fails to display a notice containing an abstract of section 3 and this section as required by section 12; or
 - (d) fails to comply with or contravenes any other provisions of this Act or the rules made thereunder;

shall be punishable with simple imprisonment which may extend to one months or with fine which may extend to ten thousand rupees or with both.

Form 'U'

Abstract of the Act and Rules

1. Extent of the Act – The Act extends to the whole of India;

Provided that in so far as it relates to plantations or ports, it shall not exceed to the State of Jammu and Kashmir. [Section 1(2)].

2. To whom the Act Applies - (a) every factory, mine, oilfield, plantation, port and railway company; (b) every shop or establishment within the meaning of any law for the time being in force in relation to shops and establishments in a State, in which ten or more persons are employed, or were employed, on any day of the preceding twelve months; and (c) such other establishments or class of establishments, in which ten or more employees are employed, or were employed, on any day of the preceding twelve months, as the Central Government may, by notification, specify in this behalf. [Section 1(3)].

3. Definitions - (a) "Appropriate Government" means, - (i) in relation to an establishment - (a) belonging to, or under the control of, the Central Government,

(b) having branches in more than one State,

(c) of a factory belonging to, or under the control of, the Central Government,

(d) of a major port, mine, oilfield or railway company, the Central Government, (ii) in any other case, the State Government. [Section 2(a)].

(b) "completed year of service" means continuous service for one year. [Section 2(b)]

(c) "Continuous service" means continuous service and includes service which is interrupted by sickness, accident, leave, lay-off, strike or a lock-out or cessation of work not due to any fault of the employees concerned, whether such un-interrupted service was rendered before or after the commencement of this Act.

Explanation I - In the case of an employee who is not in uninterrupted service for one year, he shall be deemed to be in continuous service if he has been actually employed by an employer during the twelve months immediately preceding the year of not less than –

(i) 190 days, if employed below the ground in a mine, or

(ii) 240 days, in any other case, except when he is employed in a seasonal establishment.

Explanation II – an employee of a seasonal establishment shall be deemed to be in continuous service if he has actually worked for not less than seventy-five percent of the number of days in which establishment was in operation during the year. [Section 2(d)].

(d) "Controlling authority" means an authority appointed by the appropriate Government under Section 3. [Section 2(d)].

(e) "Family", in relation to an employee, shall be deemed to consist of - (i) in the case of a male employee, himself, his wife, his children, whether married or unmarried, his dependent parents and the dependent parents of his wife and the widow and children of his predeceased son, if any,

(ii) in the case of a female employee, herself, her husband, her children, whether married or unmarried, her dependent parents and the dependent parents of her husband and the widow and children of her predeceased son, if any :

Provided that if a female employee, by a notice in writing to the controlling authority, expresses her desire to exclude her husband from her family, the husband and his dependent parents shall no longer be deemed, for the purposes of this Act, to be included in the family of such female employee unless the said notice is subsequently withdrawn by such female employee.

Explanation : Where the personal law of an employee permits the adoption by him of a child, any child lawfully adopted by him shall be deemed to be included in his family, and where a child of an employee has been adopted by another person and such adoption is, under the personal law of the person making such adoption, lawful, such child shall be deemed to be excluded from the family of the employee. [Section 2(h)].

4. Nomination – (1) Each employee, who has completed one year of service, after the commencement of the Payment of Gratuity (Central) Rules, 1972, shall make within thirty days of completion of one year of service, a nomination. [Section 61 read with Rule 86(1)].

(2) If an employee has a family at the time of making a nomination, the nomination shall be made in favour of one or more members of his family and any nomination made by such employee in favour of a person who is not a member of his family shall be void. [Section 6(3)].

(3) If at the time of making a nomination, the employee has no family, the nomination can be made in favour of any person or persons, but if the employee subsequently acquires a family, such nomination shall forthwith become invalid and the employee shall make within 90 days fresh nomination in favour of one or more members of his family. [Section 6(4) read with Rule 6(3)].

(4) A nomination or a fresh nomination or a notice of modification of nomination shall be signed by the employee or, if illiterate, shall bear his thumb-impression in the presence of two witnesses, who shall also sign declaration to that effect in that nomination, fresh nomination or notice of modification of nomination as the case may be. [Rule 6(5)].

(5) A nomination may, subject to the provisions of the sub-sections (3) and (4) of Section 6 modified by an employee any time after giving to his employer a written notice of his intention to do so. [Section 6(6)].

(6) A nomination or fresh nomination or notice of modification of nomination shall take effect from the date of receipt of the same by the employer. [Rule 6(6)].

5. Application for Gratuity – (1) An employee who is eligible for payment of gratuity under the Act, or any person authorized, in writing, to act on his behalf, shall apply ordinarily within thirty days from the date gratuity become payable:

Provided that where the date of superannuation or retirement of an employee is known, the employee may apply to such employer before thirty days of the date of superannuation or retirement. [Rule 7(1)].

(2) A nominee of an employee who is eligible for payment of gratuity shall apply, ordinarily within thirty days from the date the gratuity became payable to him, to the employer. [Rule 7(2)].

(3) A legal heir of an employee who is eligible for payment of gratuity shall apply, ordinarily within one year from the date the gratuity became payable to him, to the employer. [Rule 7(3)].

(4) An application for payment of gratuity filed after the expiry of the periods specified above shall also be entertained by the employer if the applicant adduces a sufficient cause for the delay. [Rule 7(5)].

6. Payment of gratuity - (1) Gratuity shall be payable to an employee on the termination of his employment after he has rendered continuous service for not less than five years, -

(a) on his superannuation, or

(b) on his retirement or resignation, or

(c) on his death or disablement due to accident or disease:

Provided that the completion of continuous service of five years shall not be necessary where the termination of the employment of any employee is due to death or disablement.

Disablement means such disablement which incapacitates an employee for the work which he was capable of performing before the accident or disease resulting in such disablement. [Section 4(1)].

(2) For every completed year of service or part thereof in excess of six months, the employer shall pay gratuity to an employee at the rate of fifteen days' wages based on the rate of wages last drawn by the employee concerned.

Provided that in the case of a piece-rated employee, daily wages shall be computed on the average of the total wages received by him for a period of three months immediately preceding the termination of his employment, and, for this purpose, the wages paid for any overtime work shall not be taken into account.

Provided further that in the case of an employee who is employed in a seasonal establishment and who is not so employed throughout the year, the employer shall pay the gratuity at the rate of seven days' wages for each season. [Section 4(2)].

(3) The amount of gratuity payable to an employee shall not exceed twenty months wages. [Section 4(3)].

7. Forfeiture of gratuity – (1) The gratuity of an employee, whose services have been terminated for any act, willful omission or negligence causing any damage or loss to, or destruction of, property belonging to the employer, shall be forfeited to the extent of the damage or loss so caused.

(2) The gratuity payable to an employee shall wholly be forfeited –

(a) if the services of such employee have been terminated for his riotous or disorderly conduct or of any another act of violence on his part, or

(b) if the services of such employee have been terminated for any act which constitutes an offence involving moral turpitude, provided that such offence is committed by him in the course of his employment. [Section 4(6)].

8. Notice of opening, change or closure of the Establishment – (1) A notice shall be submitted by the employer to the controlling authority of the area within thirty days of any change in the name, address, employer or nature of business. [Rule 3(2)].

(2) Where an employer intends to close down the business he shall submit a notice to the controlling authority of the area at least sixty days before the intended closure. [Rule 3(3)].

9. Application to Controlling Authority for direction – If an employer –

- (i) refuses to accept a nomination or to entertain an application for payment of gratuity, or
- (ii) issues a notice either specifying an amount of gratuity which is considered by the applicant less than what is payable or rejecting eligibility to payment of gratuity, or
- (iii) having received an application for payment of gratuity, fails to issue a notice within fifteen days; the claimant employee, nominee, or legal heir, as the case may be, controlling authority for issuing a direction under sub-section (4) of Section 7 with as many extra copies as are the opposite party:

Provided that the controlling authority may accept any application on sufficient cause being shown by the applicant, after the expiry of the period of ninety days. [Rule 10]

10. Appeal – Any person aggrieved by an order of the controlling authority may, within sixty days from the date of the receipt of the order, prefer a appeal to the Regional Labour Commissioner (Central) of the area, who has been appointed as the appellate authority by the Central Government.

Provided that the appellate authority may, if it is satisfied that the appellant was prevented by sufficient cause from preferring an appeal within the said period of sixty days, extend the said period by a further period of sixty days. [Section 7(7)].

11. Machinery for enforcement of the Act or Rules in Central sphere – All Assistant Labour Commissioners (Central) have been appointed as Controlling Authorities and all the Regional Labour Commissioners (Central) as Appellate Authorities.

12. Powers of the Controlling Authorities – The Controlling Authority for the purpose of conducting an inquiry as to the amount of gratuity payable to an employee or as to the admissibility of any claim of, or in relation to, an employee for payment of gratuity, or as to the person entitled to receive the gratuity, shall have same powers as are vested in a court, the Code of Civil Procedure, 1908, in respect of the following matters, namely:

- (a) enforcing the attendance of any person or examining him on oath;
- (b) Requiring the discovery and production of documents;
- (c) Receiving evidence on affidavits; and

(d) Issuing commissions for the examination of witnesses. [Section 7(5)].

13. Recovery of Gratuity - If the amount of gratuity payable under this Act is not paid by the employer, within the prescribed time, to the person entitled thereto, the controlling authority shall, on an application made to it in this behalf by the aggrieved person, issue a certificate for that amount to the Collector, who shall recover the same, together with compound interest thereon at such rate as the Central Government may, by notification, specify, from the date of expiry of the prescribed time, as arrears of land revenue and pay the same to the person entitled thereto. [Section 8]

14. Protection of gratuity - No gratuity payable under this Act and the rules made thereunder shall be liable to attachment in execution of any decree or order of any civil, revenue or criminal court. [Section 13]

15. Penalties for offences - (1) Whoever, for the purpose of avoiding any payment to be made by himself under this Act or of enabling any other person to avoid such payment, knowingly makes or causes to be made any false statement or false representation shall be punishable with imprisonment for a term which may extend to six months, or with fine which may extend to ten thousand rupees or with both. [Section 9(1)].

(2) An employer who contravenes, or makes default in complying with, any of the provisions of this Act or any rule or order made thereunder shall be punishable with imprisonment for a term which shall not be less than three months but which may extend to one year, or with fine which shall not be less than ten thousand rupees but which may extend to twenty thousand rupees, or with both:

Provided that if the offence relates to non-payment of any gratuity payable under this Act, the employer shall be punishable with imprisonment for a term which shall not be less than three months unless the court trying the offence for reasons to be recorded by it in writing, is of opinion that a lesser term of imprisonment or the imposition of a fine would meet the ends of justice. [Section 9(2)].

16. Display of Notice – The employer shall display conspicuously an notice at or near the main entrance of the establishment in bold letters in English and in the language understood by the majority of the employees specifying the name of the Officer with designation authorized by the employer to receive on his behalf notices under the Payment of Gratuity Act or the rules made thereunder. [Rule 4].

17. Display of Abstract of the Act and Rules – The employer shall display an abstract of the Payment of Gratuity Act and the rules made hereunder in English and in the language understood by the majority of the employees at a conspicuous place at or near the main entrance of the establishment. [Rule 20].

Minimum Wages (Central) Rules

FORM IX-A

(Rule 22)

Notice

Abstracts of the Minimum Wages Act, 1948 and the rules made thereunder

I. Whom the Act affects

1. (a) The Act applies to persons engaged in scheduled employments or in specified class of work in respect of which minimum wages have been fixed.
- (b) No employee can give up by contract or agreement his rights in so far as it purports so reduce the minimum rates of wages fixed under the Act.

II. Definition of wages

- (1) 'Wages' means all remuneration payable to an employed person on the fulfilment of his contract of employment and includes house rent allowance. It excludes—
 - (i) the value of any house-accommodation, supply of light, water, medical attendance or any other amenity or any service extended by general or special order of the appropriate Govt.;
 - (ii) contribution paid by the employer to any Pension Fund or Provident Fund or under any scheme of Social Insurance;
 - (iii) the travelling allowance or the value of any travelling concession;
 - (iv) the sum paid to the person employed to defray special expenses entailed by him by nature of his employment;
 - (v) gratuity payable on discharge.
- (2) The minimum rate of wages may consist of—
 - (i) a basic rate of wages and special allowance called the cost of living allowance;
 - (ii) a basic rate of wages with or without a cost of living allowance and the cash value of any concessions, like supplies of essential commodities at concession rates; and
 - (iii) an all-inclusive rate comprising basic rate, cost of living allowance and cash value of concession, if any.
- (3) The minimum wages payable to employees of scheduled employments notified under Section 5, read with Section 3 or as revised from time to time under Section 10, read with Section 3, may be—
 - (a) a minimum time rate,
 - (b) a minimum piece rate,
 - (c) a guaranteed time rate,
 - (d) an overtime rate,

differing with (1) different scheduled employments, (2) different classes or work, (3) different localities, (4) different wage-periods, and (5) different age groups.

III. Computation and conditions of payment

The employer shall pay to every employee engaged in scheduled employment under him wages at a rate not less than the minimum rate of wages fixed for that class of employee.

The minimum wages payable under this Act shall be paid in cash unless the Government authorises payment thereof either wholly or partly in kind.

Wage-period shall be fixed for the payment of wages at intervals not exceeding one month or such other larger period as may be prescribed.

Wage shall be paid on a working day within seven days of the end of the wage-period or within ten days if 1000 or more persons are employed.

The wages of a person discharged shall be paid not later than the second working day after his discharge.

If an employee is employed on any day for a period less than the normal working day, he shall be entitled to receive wages for a full normal working day provided his failure to work is not caused by his unwillingness to work but by the omission of the employer to provide him with work for that period.

Where an employee does two or more classes of work to each of which a different minimum rate of wages is applicable, the employer shall pay to such employee in respect of the time respectively occupied in each such class of work, wages at not less than the minimum rate in force in respect of each such class.

Where an employee is employed on piece work for which minimum time rate and not a minimum piece-rate has been fixed, the employer shall pay to such employee wages at not less than the minimum time rate.

IV. Hours of work and holidays

The number of hours which shall constitute a normal working day shall be –

- (a) in the case of an adult, 9 hours,
- (b) in the case of a child, 4 ½ hours.

The working day of an adult worker inclusive of the intervals of rest shall not exceed twelve hours on any day.

The employer shall allow a day of rest with wages to the employees every week. Ordinarily, Sunday will be the weekly day of rest, but any other day of the week may be fixed as such rest day. No employee shall be required to work on a day fixed as rest day, unless he is paid wages for that day at the overtime rate and is also allowed a substituted rest day with wages. (See Rules 23).

When a worker works in an employment for more than nine hours on any day or for more than forty-eight hours in any week, he shall in respect of overtime worked be entitled to wages in scheduled employment other than agriculture, at double the ordinary rate of wages.

V. Fines and deductions

No deduction shall be made from wages except those authorised by or under the rules.

Deductions from the wages shall be one or more of the following kinds, namely:

- (i) Fines: An employed person shall be explained personally and also in writing the act or omission in respect of which the fine is proposed to be imposed and given an opportunity to offer any explanation in the presence of another person. The amount of the said fine shall also be intimated to him. It shall be subject to such limits as may be specified in this behalf by the Central Government. It shall be utilised in accordance with the directions of the Central Government;
- (ii) deductions for absence from duty;
- (iii) deductions for damage to or loss of goods entrusted to the employee for custody, or for loss of money for which he is required to account, where such damage or loss is directly attributable to his neglect or default. The employed person shall be explained personally and also in writing the damage or loss, in respect of which the deduction is proposed to be made and given an opportunity to offer any explanation in the presence of another person. The amount of the said deduction shall also be intimated to him. It shall be subject to such limits as may be specified in this behalf by the Central Government.;
- (iv) deductions for house-accommodations supplied by the employer or by the State Government or any authority constituted by a State Government for providing housing accommodation.

- (v) deductions for such amenities and services supplied by the employer as the Central Government may by general or special order authorise. These will not include the supply of tools and protectives required for the purposes of employment;
- (vi) deductions for recovery of advances or for adjustment of overpayment of wages. Such advances shall not exceed an amount equal to wages for two calendar months of the employed person and the monthly instalment of deduction shall not exceed one-fourth of the wages earned in that month;
- (vii) deductions of income-tax payable by the employed person;
- (viii) deductions required to be made by order of court or other competent authority;
- (ix) deductions for subscription to and for repayment of advances from any provident fund;
- (x) deductions for payment to co-operative societies or deductions for recovery of loans advanced by an employer from out of a fund maintained for the purpose by the employer and approved in this behalf by the Central Government or deductions made with the written authorisation of the person employed, for payment of any premium on his like insurance policy to the Life Insurance Corporation of India established under the Life Insurance Act, 1956 (31 of 1956);
- (xi) deductions for recovery or adjustment of amount other than wages, paid to the employed person in error or in excess of what is due to him;

Provided that prior approval of the Inspector or any other officer authorised by the Central Government in this behalf is obtained in writing before making the deductions, unless the employee gives his consent in writing to such deduction;

- (xii) deductions made with the written authorisation of the employed person (which may be given once generally and not necessarily every time a deduction is made) for the purchase of securities of the Government of India or of any State Government or for being deposited in any Post Officer Savings Bank in furtherance of any Savings Scheme of any such Government.

Every employer shall send annually a return in Form III showing the deduction from wages so as to reach the Inspector not later than the 1st February following the end of the year to which it relates.

VI. Maintenance of registers and records

Every employer shall maintain at the workspot a register or wages in the form prescribed specifying the following particulars for each period in respect of each employed person:

- (a) the minimum rates of wages payable,
- (b) the number of days in which overtime was worked,
- (c) the gross wages,
- (d) all deductions made from wages,
- (e) the wages actually paid and the date of payment.

Every employer shall issue wage-slips in the form prescribed containing prescribed particulars to every person employed.

Every employer shall get the signature or the thumb-impression of every person employed on the wage-book and wage-slips.

Entries in the wage-book and wage-slips shall be properly authenticated by the employer or his agent.

A muster-roll, register of fines, register of deductions for damage or loss and register or overtime shall be maintained by every employer at the workspot in the form prescribed.

Every employer shall keep exhibited at main entrance to the establishment and its office, notice in English and in a language understood by a majority of the workers of the following particulars in a clean and legible form:

- (a) minimum rate of wages,
- (b) abstracts of the Acts and the rules made thereunder,

(c) name and address of the Inspector.

Register of wages, muster-roll, register of fines, register of deductions for damage or loss and register of overtime shall be preserved for a period of three years after the date of last entry made therein.

All registers and records required to be maintained by an employer under the rules shall be produced on demand before the Inspector provided that where an establishment has been closed, the Inspector may demand the production of the registers and records in his office or such other place as may be nearer to the employers.

VII. Inspectors

An Inspector can enter in any premises and can exercise powers of Inspector (including examination of document and taking of evidence) as he may deem necessary for carrying out the purposes of the Act.

VIII. Claims and complaints

Where an employee is paid less than the minimum rates of wages fixed for his class of work, or less than the amount due to him under the provisions of this Act, he can make an application in the prescribed form within six months to the Authority appointed for the purpose. An application delayed beyond this period may be admitted if the authority is satisfied that the applicant had sufficient cause for not making the application within such period.

Any legal practitioner, official of a registered trade union, Inspector under the Act or other person acting with the permission of the authority can make the complaint on behalf of an employed person.

(A single application may be presented on behalf of or in respect of a group of employed persons whose wages have been delayed, if they are borne on the same establishment and their claim relates to the same wage-period or periods.)

(A complaint under Section 22(a) relating to payment of less than the minimum rates of wages or less than the amount due to an employee under the provisions of the Act can be made to the court only after an application in respect of the facts constituting the offence has been presented under Section 20 and has been granted wholly or in part, and the appropriate Government or an officer authorised by it in this behalf has sanctioned the making of the complaint:

A complaint under Section 22(b) or 22(a) regarding contravention of the provisions relating to hours of work and weekly day of rest or other miscellaneous offences relating to maintenance of registers, submission of returns etc., can be made to the court by or with the sanction of an Inspector. The time-limits for making such complaints is one month from the date of grant of sanction by the Inspector, in the case of offence falling under Section 22(b) and six months from the date on which the offence is alleged to have been committed, in the case of offences falling under Section 22(a).)

IX. Action by the Authority

The Authority may direct the payment of the amount by which the minimum wages payable exceed the amount actually paid together with the payment of compensation not exceeding ten times the amount of such excess. The Authority may direct payment of compensation in cases where the excess is paid before the disposal of the application.

If a malicious or vexatious complaint is made, the Authority may impose a penalty not exceeding Rs. 50 on the application and order that it be paid to the employer.

Every direction of the authority shall be final.

X. Penalties for offence under the Act

Any employer who pays to any employee less than the amount due to him under the provisions of this Act or infringes any order or rules in respect of normal working day, weekly holiday, shall be punishable with imprisonment of either description for a term which may extend to six months or with fine which may extend to five hundred rupees or with both.

Any employer who contravenes any provision of the Act or of any rule or order made thereunder shall, if no other penalty is provided for such contravention by the Act, be punishable with fine which may extend to five hundred rupees. If the person committing any offence under the Act is a company, every person who at the time the offence was committed, was in charge of, and was responsible to, the company for the conduct of the business of the company as well as the company shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly. No such person will be liable to punishment, if he proves that the offence was committed without his knowledge or that he exercised all due diligence to prevent the commission of such offence.

Any director, manager, secretary or other officer of the company with whose consent or connivance an offence has been committed is liable to be proceeded against and punished under the Act.

Note.—(a) “company” means any body corporate and includes a firm or other association of individuals,
(b) “director” in relation to a firm means a partner in the firm.

XI. Minimum rates of wages fixed

Name of Undertaking_____

Sl. No.	Category of employee	Minimum Wages

XII. Name and addresses of Inspector(s)

Name	Address